

Lender Approval and Rejection

Learn how lenders approve or reject funding notice drawdowns

Overview

Lenders review funding notices and can approve or reject individual drawdowns. Each lender makes their own independent decision, and the system tracks individual lender participation separately. This allows lenders to evaluate each drawdown based on their own criteria and participate or decline as they see fit.

Who Can Use This

- Lenders who receive funding notices after borrower token approval

When This Is Used

Use lender approval when:

- Funding notice becomes visible after borrower approves token transfer
- You need to review a drawdown request
- You want to approve or reject participation in a drawdown
- You need to make a decision on whether to fund your portion
- You want to evaluate drawdown details before committing funds

Step-by-Step Process

Reviewing Funding Notice

1. Access Funding Notice

- Navigate to your funding notices section
- View funding notices available for your review
- Open the notice you want to review

- Review complete drawdown information

2. Review Drawdown Details

- **Request Amount:** Check the total drawdown amount
- **Your Allocation:** Review your portion of the drawdown
- **Purpose:** Understand what the funds will be used for
- **Funding Date:** Check when funds are needed
- **Facility Details:** Review facility terms and conditions

3. Evaluate Drawdown

- Assess borrowing base impact
- Review facility utilization after this drawdown
- Check if drawdown complies with facility rules
- Evaluate borrower's purpose and justification
- Consider your risk and exposure
- Review your token allocation amount

4. Review Supporting Information

- Check any supporting documentation provided
- Review borrower's financial information if available
- Assess collateral if applicable
- Evaluate overall facility health

Making Decision - Approve

1. Evaluate Approval Criteria

- Drawdown meets facility rules
- Sufficient borrowing capacity available
- Purpose is acceptable
- Borrower is in good standing
- Your risk tolerance allows participation
- Drawdown aligns with your investment criteria

2. Approve Drawdown

- Click the "Approve" button or similar
- Review any confirmation messages
- Confirm your approval decision
- Your approval is recorded

CREDIT FACILITY

Place Order – CF • Demo Credit Facility

1 **Review Funding Notice**
Your order is pending review and approval.

2 **Signature Required**
Please review and execute documents.

3 **Choose Payment Rail**
Select how you want to pay.

4 **Payment Completed**
Your payment is complete.

5 **Order Allocated**
Your order has been allocated.

Notice ID
FN-20251114-7qx0wl

Requested Amount
78,555.00

Transaction Hash
0x734bd25332ef5b155e7d57080f1674d18d8ad76e4fcf5832c431

Deal Name
Demo Credit Facility

Funding Request ID
FR-11142025-luxe

Funding Date
11/14/2025

Buttons: Close, Reject, Approve & Next

Lender Approval - Funding Notice

3. After Approval

- Your participation is confirmed
- You can proceed with fund transfer
- Your portion of the drawdown is committed
- Status shows you've approved
- You can transfer funds when ready

Making Decision - Reject

1. Evaluate Rejection Reasons

- Drawdown doesn't meet your criteria
- Risk concerns
- Facility utilization concerns
- Borrower concerns
- Other business reasons

2. **Reject Drawdown**

- Click the "Reject" button or similar
- Provide rejection reason if required
- Enter any comments explaining your decision
- Confirm your rejection

3. **After Rejection**

- Your participation is declined
- You will not fund your portion
- Other lenders make independent decisions
- Borrower can see which lenders approved
- Your rejection doesn't affect other lenders

Tracking Decisions

1. **View Your Decision Status**

- See whether you've approved or rejected
- Review your decision timestamp
- Check any comments you provided
- Verify your decision is recorded

2. **Monitor Other Lenders**

- See which other lenders have approved
- View which lenders have rejected
- Track overall lender participation
- Understand drawdown status

Rules & Validations

- Each lender makes independent decision. Your decision doesn't affect other lenders' choices.
- Your decision doesn't affect other lenders. Other lenders can approve or reject independently.

- You can approve or reject based on your evaluation. Make decisions based on your own criteria and risk tolerance.
- Approved lenders can proceed with fund transfer. If you approve, you can transfer your portion of funds.
- Rejected lenders don't participate in that drawdown. If you reject, you won't fund your portion, but other lenders can still participate.
- Decisions are final once submitted. You cannot easily change your decision after submitting.
- Rejection reasons help borrowers understand. Providing reasons helps borrowers understand lender concerns.
- Individual tracking. Each lender's decision is tracked separately with timestamps and details.
- Borrower visibility. Borrowers can see which lenders approved and which rejected.
- Complete audit trail. All decisions are recorded with who made what decision and when.

What Happens Next

After making your decision:

- **If Approved:** You can proceed with fund transfer, transfer your allocated portion to the borrower, confirm the transfer, and your participation is complete.
- **If Rejected:** You don't participate in this drawdown, other lenders make their own decisions independently, borrower can see your rejection, and you can participate in future drawdowns.

After all lenders decide:

- Approved lenders transfer funds and confirm transfers
- Borrower receives funds from approved lenders
- Drawdown process completes as transfers are confirmed
- Borrower can track which lenders participated
- Complete documentation is maintained

Understanding lender approval and rejection helps you make informed decisions on drawdowns, participate effectively in credit facilities, and manage your participation based on your own evaluation criteria and risk tolerance.